

Oxford Cambridge and RSA Examinations

GCE

Economics

H460/02: Macroeconomics

A Level

Mark Scheme — Predicted Paper 2 (Moderate)

MARKING INSTRUCTIONS

Marks awarded must relate directly to the marking criteria. Mark schemes should be read in conjunction with the published question paper.

Alternative correct answers and unexpected approaches in candidates' scripts must be given marks that fairly reflect the relevant knowledge and skills demonstrated.

For answers marked by levels of response:

- To determine the level — start at the highest level and work down until you reach the level that matches the answer.
- To determine the mark within the level, consider whether the answer is at the borderline (bottom), just enough (above bottom/middle), meets criteria with slight inconsistency (above middle), or consistently meets the criteria (top).

Question 1 (a)

Answer	Mark	Guidance
Using information from the stimulus material, identify two components of Vietnam's aggregate demand. Two from: • Consumer expenditure / consumption (1) • Investment (FDI is a form of investment) (1) • Exports (1) • Imports (1) • Net exports (1) • Government spending (1)	2	Annotate with ✓ Accept any two distinct components. Do not credit "aggregate demand" itself.

Question 1 (b)

Answer	Mark	Guidance
Using information from the stimulus material, calculate to one decimal place Vietnam's terms of trade in 2023. Correct answer = 90.5	1	Annotate with ✓ Index of export prices / Index of import prices × 100 $128.5 / 142.0 \times 100 =$ $90.4929...$ $= 90.5$ (to 1 d.p.) Do not credit 0.9 or 90

Question 1 (c)

Answer	Mark	Guidance
Explain whether the relationship in Fig. 1 between FDI inflows and the real GDP growth rate is the expected one. • Yes, broadly the expected relationship / partial positive relationship (1) • FDI is expected to raise real GDP growth because it adds to the capital stock, boosts AD and raises productive capacity (1) • Supporting evidence e.g. Vietnam (US\$17.9bn FDI, 8.0% growth) and Malaysia (US\$16.9bn, 8.7% growth) both have high FDI and high growth; Cambodia has the lowest FDI and relatively low growth (1) • Exception: Indonesia has the highest FDI (US\$22.0bn) but only 5.3% growth / Thailand has higher FDI than the Philippines but much lower growth (1) • The relationship may be weakened by the fact that large economies receive more FDI in absolute terms but this represents a smaller share of their economy (1)	3	Annotate with ✓ Relationship — 1 mark Why it is expected — 1 mark Supporting evidence — 1 mark Exception — 1 mark Evidence must explain why the data shows (or does not show) the expected relationship, not simply restate a value.

Question 1 (d)

Answer	Mark	Guidance
Using Table 1, explain the relationship between the unemployment rate and the labour productivity index. • There is no clear/strong relationship between unemployment and labour productivity (1)	4	Annotate with ✓ Relationship (type/strength) — 1 mark Evidence — 1 mark

• Evidence e.g. Vietnam has a low unemployment rate of 2.3% and the highest productivity index of 139.2, while Cambodia also has low unemployment (0.6%) but the lowest productivity index of 108.9 / Indonesia has the highest unemployment rate (5.3%) and a productivity index in the middle of the range (1) • A possible explanation is that higher productivity raises real wages and the returns to work, which encourages participation; alternatively, countries with high productivity may use capital-intensive production, which reduces the demand for labour (1) • Exception / limitation: Thailand has very low unemployment (1.0%) but below-average productivity (112.4), suggesting that other factors — such as labour market flexibility, informal employment or demographic structure — also influence the relationship (1)		Explanation — 1 mark Exception / limitation — 1 mark
--	--	---

Question 1 (e)* Using information from the stimulus material, evaluate whether the rise in inflation is likely to harm Vietnam's economic growth. [8]

Level / Mark	Descriptor
Level 2 (5–8 marks)	Good knowledge and understanding of relevant economic idea(s). Good application of economic concepts to the context and some good use of data. Strong analysis characterised by consistently well-developed chains of reasoning. Strong evaluation including consideration of counter arguments / factors that determine extent; a logical and well supported judgement.
Level 1 (1–4 marks)	Reasonable knowledge and understanding of relevant economic idea(s). Reasonable application, possibly inconsistent or not always relevant. Reasonable analysis in the form of single links. Limited evaluation characterised by simple statements / a stated judgement or the absence of a judgement.
0 marks	Response is not worthy of credit

Indicative content — Question 1(e)*

The side of the argument presented first should be credited as Analysis; the other side as Evaluation.

Knowledge and understanding

- Inflation is a sustained rise in the general price level.
- Economic growth is a rise in real GDP / productive capacity.

Application — context

- Vietnam's inflation rose from 3.2% to 4.6% between 2022 and 2023.
- The rise was driven by higher global commodity prices and depreciation of the dong.
- Vietnam is a rapidly growing emerging economy averaging 6.3% real GDP growth in the 2010s and 8.0% in 2022.

Analysis (inflation may harm growth)

- Higher inflation reduces the real purchasing power of household incomes, which can reduce consumer expenditure (a component of AD) and slow growth.
- Imported inflation raises firms' costs (cost-push), squeezing profits and reducing investment.
- If the central bank responds with higher interest rates, this would reduce consumption and investment, shifting AD leftward.
- Inflation may reduce international competitiveness if it exceeds that of competitor countries, reducing net exports.
- Uncertainty created by inflation may deter long-term FDI, which has been crucial to Vietnam's growth.

Evaluation (inflation may not harm growth)

- At 4.6%, inflation is still moderate — much lower than in some emerging economies — and may simply reflect rapid growth.
- A mild amount of inflation can encourage spending now rather than later, supporting AD.
- If inflation is driven by imported commodity prices rather than demand-pull pressure, growth may not slow significantly.
- Vietnam's real GDP growth of 8.0% in 2022 is among the highest in the region despite rising inflation, suggesting the two can co-exist.
- FDI is attracted by long-term factors (labour costs, market access) rather than short-term inflation changes.

Judgement may include

- The impact depends on how persistent inflation is — short-lived imported inflation is less harmful than sustained demand-pull inflation.

- The impact depends on the policy response: aggressive interest-rate rises could harm growth more than the inflation itself.
- Inflation may harm some groups (low-income consumers, exporters if the exchange rate rises) more than others.

Question 1 (f)* Using information from the stimulus material, evaluate whether Vietnamese workers are likely to benefit from the increase in foreign direct investment in the country.
[12]

Level / Mark	Descriptor
Level 3 (9–12 marks)	Good knowledge and understanding of relevant economic idea(s). Good application of concepts; some good use of data. Strong analysis — consistently well-developed chains of reasoning. Strong evaluation — well-developed counter-arguments, extent, a logical and well supported judgement.
Level 2 (5–8 marks)	Good knowledge and understanding. Good application, some good use of data. Reasonable analysis characterised by undeveloped chains of reasoning / single links. Reasonable evaluation; consideration of counter arguments; an unsupported judgement.
Level 1 (1–4 marks)	Reasonable knowledge and understanding. Reasonable application, possibly inconsistent. Limited analysis — simple statements of cause and consequence. Limited evaluation — stated or absent judgement.
0 marks	Response is not worthy of credit

Indicative content — Question 1(f)*

Knowledge and understanding

- FDI is long-term cross-border investment by firms, usually by MNCs establishing or expanding productive capacity in another country.
- Workers' benefits can include wages, employment, training, working conditions and job security.

Application — context

- Vietnam has received substantial FDI, particularly in manufacturing (US\$17.9bn in 2022).
- Unemployment is very low (2.3%) and productivity has risen significantly (index of 139.2).
- The gap between wages in foreign MNCs and domestic firms has widened; environmental and rural-urban inequality concerns exist.

Analysis — workers benefit

- FDI creates jobs, reducing unemployment. Vietnam's unemployment rate of 2.3% is among the lowest in the region.
- MNCs typically pay higher wages than domestic firms to attract the best workers, so workers who secure these jobs enjoy higher living standards.
- MNCs provide training, transferring skills and technology which permanently raises labour productivity (shown by Vietnam's productivity index of 139.2).
- Higher wages and employment raise consumption, creating a multiplier effect that boosts demand for workers in other sectors.
- Higher tax revenue from rising employment and FDI-related profits can be used for public services benefiting workers.

Evaluation — workers may not fully benefit

- Benefits are unevenly distributed: the stimulus notes the widening wage gap between MNC and domestic firm workers, meaning some groups lose relative to others.
- Workers in rural areas see limited benefit if FDI is concentrated in urban manufacturing hubs.
- MNCs may have monopsony power over local labour markets, limiting wage growth.
- Environmental damage from some multinational-owned factories imposes costs on workers' health and quality of life.

- FDI can be footloose — firms may relocate if wages rise or incentives are offered elsewhere, creating job insecurity.
- Skill transfer is limited if MNCs use imported managerial and technical staff rather than training Vietnamese workers for senior roles.

Judgement may include

- Whether workers benefit depends on whether the Vietnamese government regulates working conditions, environmental standards and ensures wage growth is shared widely.
- The short-run gain (employment, income) is clear; long-run benefits depend on whether productivity and skills transfer endure.
- Workers with education and relevant skills will benefit most; unskilled and rural workers may benefit less.
- The overall impact depends on whether FDI complements rather than crowds out domestic firms that may pay better long-term.

Section B — Question 2*

Evaluate, with the use of an appropriate diagram(s), whether a cut in income tax will help a government to achieve its macroeconomic policy objectives. [25]

Level / Mark	Descriptor
Level 5 (21–25)	Strong KU, application, analysis and evaluation. Accurate, integrated diagram(s). Logical and well-supported judgement.
Level 4 (16–20)	Good KU, application, analysis and evaluation. Predominantly correct diagram(s). Unsupported judgement.
Level 3 (11–15)	Good KU and application, good analysis, reasonable evaluation with an unsupported judgement.
Level 2 (6–10)	Reasonable KU, application, analysis (single links) and evaluation.
Level 1 (1–5)	Limited KU, application, analysis and evaluation.
0 marks	Response is not worthy of credit.

Indicative content — Question 2***Knowledge and understanding**

- Income tax is a direct tax on earnings.
- Macroeconomic objectives: stable low inflation, sustainable economic growth, low unemployment, stable balance of payments.
- A cut in income tax is expansionary fiscal policy.

Analysis — cut in income tax helps achieve objectives

- Higher disposable incomes raise consumer expenditure, shifting AD rightward and raising real GDP (growth) and lowering unemployment (shown in AD/AS diagram with SRAS).
- Higher incomes may raise consumer spending on normal goods, increasing demand for labour and reducing cyclical unemployment.
- Lower marginal tax rates may improve incentives to work, raising labour supply (rightward shift in LRAS) — helping both growth and price stability.
- Lower income taxes may attract skilled workers from abroad, raising labour quality and productive capacity.
- A multiplier effect may amplify the effects on AD and growth.

Evaluation — a cut may NOT help achieve objectives

- If AD rises faster than LRAS, the price level rises — demand-pull inflation may exceed the target.
- Higher consumption may include imports, worsening the current account deficit.
- A fall in tax revenue may increase the government's budget deficit.
- If marginal propensity to save is high, the effect on AD may be small.
- In an economy near full employment, extra AD mainly raises prices, not output.
- The size of the multiplier depends on leakages — high import or savings ratios dampen the effect.

Possible judgement

- Effectiveness depends on the initial state of the economy — a tax cut is more useful in a recession with spare capacity than when at full employment.
- There may be trade-offs between objectives — growth and employment rise but inflation and the current account deficit worsen.
- The long-run supply-side effects depend on whether households increase labour supply significantly.
- Distributional effects: progressive vs. regressive cuts affect different parts of the population.

Section B — Question 3*

Evaluate, with the use of an appropriate diagram(s), whether an increase in labour productivity will benefit an economy. [25]

Level descriptors as for Q2.*

Indicative content — Question 3*

Knowledge and understanding

- Labour productivity is output per worker (or per hour worked).
- An increase in productivity shifts LRAS rightward.

Analysis — productivity benefits an economy

- A rightward shift in LRAS raises potential output (economic growth) without causing demand-pull inflation — shown on AD/AS diagram.
- Lower unit costs make firms more price-competitive internationally, improving net exports and the current account.
- Higher productivity justifies higher real wages without raising inflation, improving living standards.
- Higher profit margins may encourage investment, further raising productive capacity.
- Lower production costs reduce cost-push inflationary pressure.

Evaluation — productivity may not fully benefit the economy

- Higher productivity achieved through automation may create structural/technological unemployment.
- Gains from productivity may accrue disproportionately to capital owners, worsening income inequality.
- If the productivity rise requires heavy investment, there may be short-run costs and opportunity costs.
- If AD does not keep up with rising supply capacity, an output gap may appear, raising unemployment.
- Productivity gains in one sector may displace workers who lack transferable skills.

Possible judgement

- In the long run, productivity growth is the most important source of sustainable prosperity.
- Distribution of gains matters — without policy intervention, some groups may lose in the short run.
- The effect depends on the speed and cause of the productivity gain.
- Trade-offs between growth and employment are possible in the short run.

Section C — Question 4*

Evaluate whether supply-side policies are the most effective way to reduce unemployment. [25]

Level descriptors as for Q2.*

Indicative content — Question 4*

Knowledge and understanding

- Supply-side policies aim to increase the productive capacity of the economy (shift LRAS rightward).
- Examples include education, training, tax reform, privatisation, deregulation and reducing benefit generosity.
- Unemployment types: cyclical, structural, frictional, seasonal, classical.

Analysis — supply-side policies can reduce unemployment

- Education and training raise the skills of the labour force, reducing structural unemployment.
- Improved job-search information reduces frictional unemployment.
- Reducing income tax raises returns to work, incentivising labour force participation.
- Welfare reform reduces the replacement ratio, encouraging job search.
- Deregulation of product and labour markets encourages new firm entry and hiring.

Evaluation — supply-side policies may not be most effective

- Supply-side policies operate over the long run — slow to reduce cyclical unemployment.
- For cyclical unemployment, expansionary fiscal/monetary policy (increasing AD) is more effective.
- Education and training are costly and their benefits are uncertain.
- Reducing benefits may push people into poverty without guaranteeing jobs exist.
- Structural reforms may worsen job insecurity in the short run.
- If AD is low, improving skills does not create jobs.

Possible judgement

- The most effective policy depends on the type of unemployment present.
- Cyclical unemployment → demand-side policies; structural unemployment → supply-side.
- A combination of policies is likely to be most effective.
- Time horizons matter — supply-side in long run, demand-side in short run.

Section C — Question 5*

Evaluate whether low interest rates are an effective way to stimulate economic growth. [25]

Level descriptors as for Q2.*

Indicative content — Question 5*

Knowledge and understanding

- Interest rates are the cost of borrowing / reward for saving.
- Low interest rates are expansionary monetary policy.
- Economic growth is an increase in real GDP.

Analysis — low interest rates stimulate growth

- Cheaper borrowing encourages consumer spending on durable goods and housing.
- Lower financing costs encourage firm investment, shifting AD rightward.
- Lower returns on saving reduce the incentive to save, increasing consumption.
- Asset prices (shares, housing) rise, creating a wealth effect that raises consumption.
- Lower interest rates cause the exchange rate to depreciate, boosting net exports.

Evaluation — may not be effective

- If confidence is low (e.g. after a financial crisis), consumers and firms may not borrow more despite low rates — liquidity trap.
- At already very low interest rates, further cuts have little effect (zero lower bound).
- Low rates may encourage excessive risk-taking and asset bubbles.
- Savers (especially retirees on fixed incomes) lose purchasing power, which may reduce aggregate consumption.
- Banks may be reluctant to lend if they view borrowers as high-risk.
- Time lags mean the effects on growth take 12–18 months to appear.

Possible judgement

- Effectiveness depends on the starting rate, inflation expectations, and confidence.
- Low rates alone may be insufficient — combined with fiscal policy may be more effective.
- If the economy is supply-constrained, low rates cause inflation rather than growth.
- Long-term reliance on low rates may store up financial stability risks.

ASSESSMENT OBJECTIVES GRID

Question	AO1	AO2	AO3	AO4	Total	Quant.
1(a)		2			2	
1(b)		1(1)			1	(1)
1(c)	2	1(1)			3	(1)
1(d)	2(2)	2(2)			4	(4)
1(e)*	1	1	3	3	8	
1(f)*	1	1	5(2)	5	12	(2)
2*/3*	6(2)	6(2)	6(2)	7(2)	25	(8)
4*/5*	6	6	6	7	25	
TOTAL	18	20	20	22	80	(16)

END OF MARK SCHEME